

Recall that in modern portfolio theory, risk is defined by the volatility of the share price. But Buffett had always perceived a drop in share prices as an opportunity. If anything, a dip in price actually *reduces* risk. He points out, “For owners of a business—and that’s the way we think of shareholders—the academic’s definition of risk is far off the market, so much so that it produces absurdities.”¹³

Buffett has a different definition of risk: the possibility of harm or injury. And that is a factor of the “intrinsic value risk” of a business, not the price behavior of the stock. The real risk, Buffett says, is whether after-tax returns from an investment “will give him [an investor] at least as much purchasing power as he had to begin with, plus a modest rate of interest on that initial stake.”¹⁴

Risk, for Buffett, is inextricably linked to an investor’s time horizon. This alone is the single greatest difference between how Warren Buffett thinks about risk and how modern portfolio theory frames risk. If you buy a stock today with the intention of selling it tomorrow, Buffett explains, then you have entered into a risky transaction. The odds are no better than the toss of a coin—you will lose about half the time. However, says Buffett, if you extend your time horizon out to several years, the probability of its being a risky transaction declines meaningfully, assuming of course that you have made a sensible purchase. “If you ask me to assess the risk of buying Coca-Cola this morning and selling it tomorrow morning,” Buffett says, “I’d say that that’s a very risky transaction.”¹⁵ But in Buffett’s way of thinking, buying Coca-Cola this morning and holding it for 10 years, that’s zero risk.

Buffett’s unique view on risk also drives his portfolio diversification strategy; here, too, his thinking is the polar opposite of modern portfolio theory. According to the theory, remember, the primary benefit of a broadly diversified portfolio is to mitigate the price volatility of the individual stocks. But if you are unconcerned with short-term price volatility, as Buffett is, then you will also see portfolio diversification in a different light.

“Diversification serves as a protection against ignorance,” explains Buffett. “If you want to make sure that nothing bad happens to you relative to the market, you should own everything. There is nothing wrong with that. It’s a perfectly sound approach for somebody that doesn’t know how to analyze businesses.” In many ways, modern portfolio theory protects